OCAD - ONE COMPANY A DAY

SERIES: AEROSPACE AND DEFENSE

General Dynamics Corporation

GD | NYSE

USD 372.59 per share

Closing price, Friday 30 October 2026, latest completed trading day



GD daily closing price, 10 June to 30 October 2026 (last 63 trading days), USD per share. Source: Alpha Vantage daily series.

REPORT DATE	ANALYST	SERIES	EXCHANGE
2 November 2026	Arthur Faugeron	Aerospace and Defense	NYSE

Executive Summary

General Dynamics is a US prime contractor whose earnings are anchored by nuclear submarine construction and business jets. Backlog jumped to $220.3bn at the end of the third quarter of 2026 after large Virginia and Columbia class awards, so revenue visibility is unusually long, while the share price of $372.59 already capitalises that visibility at 21.9 times trailing earnings.

Business

General Dynamics reports four segments: Marine Systems (32% of 2025 revenue), Technologies (26%), Aerospace (25%, Gulfstream and Jet Aviation) and Combat Systems (17%). The US government supplied 68% of 2025 revenue ($35.8bn), non-US customers 17%, and US commercial customers 15%; the model is long-cycle, cost-plus and fixed-price defense contracting plus a cyclical business jet franchise.

Financial Condition

Revenue was $52.6bn in 2025 (+10.1%) and $56.5bn over the last twelve months; operating earnings were $5.36bn (10.2% margin) in 2025 and $5.86bn LTM. Net earnings were $4.21bn in 2025 and $4.66bn LTM; operating cash flow was $5.12bn and free cash flow $3.96bn in 2025, and $5.78bn LTM. Net debt fell to $2.6bn at 4 October 2026 from $5.7bn at year end, or 0.4 times LTM EBITDA.

Market Position

The company competes with Lockheed Martin, Northrop Grumman, RTX and Huntington Ingalls in defense, with Leidos, SAIC and CACI in government IT, and with Bombardier, Dassault and Textron in business jets. Its principal advantage is sole-source or near-sole-source production of nuclear submarines at Electric Boat and of Abrams and Stryker vehicles; its principal weakness is the 7.0% to 7.5% operating margin of Marine Systems, the largest segment.

Valuation

At USD 372.59 the equity is worth about $100.7bn and enterprise value is about $103.3bn. Trailing multiples are 21.9 times earnings, 15.2 times EBITDA and 17.4 times LTM free cash flow (25.4 times on 2025 free cash flow); the dividend yield is 1.7%. A ten-year DCF gives a base value of about $344 per share with a bear to bull range of $273 to $414.

Investment Framework

WHAT IS ATTRACTIVE	Backlog of $220.3bn is 3.9 times LTM revenue; nine-month operating earnings grew 12.9% and EPS 13.6%; net debt is down 54% since December 2025; five-year ROIC rose from 12.6% to 14.1% (2021 to 2025).
WHAT IS CONCERNING	Shares trade at the top of their own five-year P/E range; Marine Systems earns a 7.5% margin on the fastest growing revenue; a Department of Defense Inspector General subpoena was disclosed in the latest quarterly filing; 14-day RSI is 73.5.
WHAT MUST GO RIGHT	Submarine throughput and Electric Boat labour productivity must support the booked growth; Gulfstream G700 and G800 deliveries must keep the aerospace margin near 14.7%; cash conversion must stay near 100% of net earnings.
WHAT COULD BREAK THE THESIS	A fixed-price cost overrun on submarines, a business jet downturn, defense budget cuts or delays, or a multiple derating toward the 18 times earnings seen in 2021.
PRICED IN	The price sits about 8% above the base DCF and implies either a WACC near 7.5% or operating margin expansion of roughly 0.5 points with growth about one point above the base path.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High. Sole-source franchises and 3.9 years of backlog, offset by contract-pricing risk.
Financial quality	High. 17.6% LTM ROE, 100% or better cash conversion in four of five years.
Competitive position	Strong in submarines and land vehicles; moderate in business jets and IT services.
Growth profile	Solid. Revenue CAGR 8.1% in 2021 to 2025; nine-month 2026 growth 10.4%.
Balance-sheet risk	Low. Net debt 0.4 times EBITDA; interest cover 17 times in 2025.
Valuation	Full. Top of five-year P/E range; modestly above base DCF value.
Market and technical profile	Constructive but extended. Price above 20 and 50 day averages, RSI 73.5, low market beta.

Source: analyst assessment based on sections A to C.

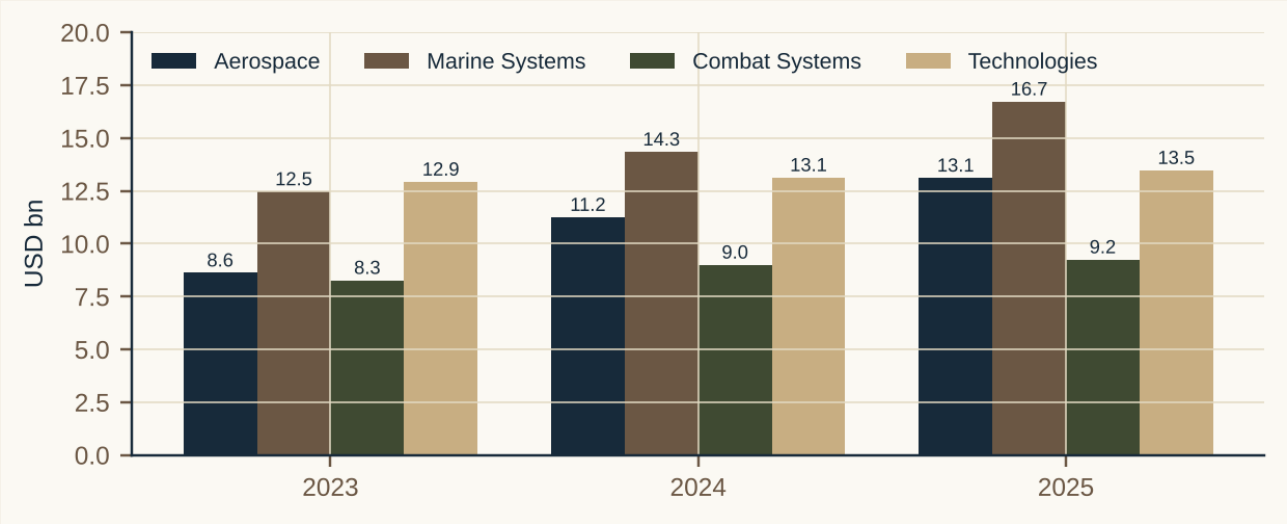
A. About the Business

A1. Business Environment

General Dynamics operates in two connected industries: prime defense contracting for the United States and allied governments, and business aviation. Defense primes sit between a single dominant buyer, the Department of Defense (referred to by the company as the Department of War), and a deep supplier base. Value is created in design authority, security-cleared engineering and manufacturing know-how, and is captured through contract structure: cost-plus work earns a small fixed fee, while fixed-price production earns a margin that rises with learning curves and falls with overruns. Capital intensity is moderate (capex 2.2% of 2025 revenue) because customers fund much of the working capital through progress payments and advances.

Industry demand is driven by appropriations, which are cyclical over decades but stable year to year once programs are funded. Submarine production is a special case: the US Navy buys nuclear submarines from only two yards, so the supply side is a duopoly of General Dynamics Electric Boat and Huntington Ingalls Newport News, which cooperate on Virginia class construction. Business jets are a distinct, cyclical, wealth-driven market with a concentrated large-cabin segment. The defense industry is mature and consolidated at the prime level, structurally supported by higher defense spending in the United States and Europe, and constrained by workforce, supply chain and shipyard capacity rather than by demand.

Segment revenue, 2023 to 2025



Source: General Dynamics Form 10-K for 2025. Units: USD billion. Fiscal years ended 31 December.

INDUSTRY STAGE: MATURE, CONSOLIDATED, STRUCTURALLY SUPPORTED

> Defense prime contracting is mature and consolidated, with demand re-accelerating on rearmament and submarine recapitalisation. Business aviation is cyclical. The classification rests on the rise in total backlog from $118.0bn to $220.3bn in nine months, the two-yard submarine supply base, and the fact that growth is limited by capacity, not by orders.

A2. What Does the Company Do?

General Dynamics employs about 117,000 people and builds four things. Marine Systems ($16.7bn revenue in 2025) designs and builds Columbia class ballistic missile submarines (a 12-boat program), Virginia class attack submarines (14 in backlog through 2034), Arleigh Burke destroyers (11 ships in backlog through 2032) and T-AO-205 oilers. Aerospace ($13.1bn) makes Gulfstream large-cabin and mid-cabin business jets (G800 entered service in 2025; more than 595 G650 family aircraft and more than 1,650 G450 and G550 aircraft are in service) and runs Jet Aviation maintenance, completion and charter management services. Combat Systems ($9.2bn) is the sole-source producer of the Abrams tank and the Stryker vehicle and also makes Piranha and Ajax vehicles and munitions. Technologies ($13.5bn) combines GDIT, an information technology services business, and Mission Systems, which supplies command, control, communications, computers, intelligence, surveillance and reconnaissance products.

Revenue is mostly recurring in nature: roughly two thirds comes from US government contracts recognised over time as costs are incurred, and the Aerospace backlog of firm orders converts as aircraft are delivered (158 in 2025; 119 in the first nine months of 2026). Pricing is contractual in defense and list-price negotiated in Gulfstream, where deposits fund production. The main costs are materials, direct labour and subcontractors; the company reports operating costs of $44.6bn on $52.6bn of 2025 revenue (84.9%), selling, general and administrative expense of $2.6bn (4.9%) and research and development of $0.5bn (0.9%).

How one dollar of revenue is used

Of each dollar of 2025 revenue, about 85 cents was operating cost, 10 cents was operating earnings, 8 cents was net earnings, 7.5 cents was free cash flow, 3.0 cents went to dividends and 1.2 cents to share repurchases.

1. CUSTOMER
US government 68%, non-US 17%, US commercial 15%

2. PRODUCT AND SERVICE
Submarines, ships, jets, vehicles, IT and mission systems

3. REVENUE
$52.6bn in 2025; $56.5bn LTM to Q3 2026

4. COSTS
Operating costs 84.9% of 2025 revenue

5. OPERATING PROFIT
$5.36bn, 10.2% margin in 2025; 10.5% in nine months 2026

6. CASH FLOW
Operating cash flow $5.12bn; free cash flow $3.96bn in 2025

7. CAPITAL ALLOCATION
Dividends $1.59bn, buybacks $0.64bn, debt cut $1.0bn in 2026 to date

The economically most important pieces are Marine Systems, which provides 32% of revenue and the backlog growth, and Aerospace, which provides 32% of 2025 segment operating earnings ($1.75bn of $5.53bn before corporate costs) on 25% of revenue.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
US Navy and Department of Defense	Principal customer; $29.8bn of 2025 revenue came from the Department of Defense	Concentration gives pricing and budget exposure, but also payment certainty and long contract lives.
Electric Boat and Bath Iron Works	Submarine and surface ship subsidiaries inside Marine Systems	Capacity of these yards sets the pace of revenue conversion of the $220bn backlog.
Huntington Ingalls	Teaming partner and competitor on Virginia class construction	Shared program risk and shared labour pool in the shipbuilding supply base.
Gulfstream and Jet Aviation	Business jet manufacturer and service network	High-margin aerospace segment (14.7% nine-month margin) exposed to private-aviation demand.
GDIT and Mission Systems	Government IT services and C5ISR electronics in Technologies	Lower margin (9.4%) but 40,000 employees and recurring services revenue.
Land Systems	Abrams, Stryker, Piranha, Ajax and XM30 programs	Sole-source production of Abrams and Stryker provides a durable cash franchise at 13.8% margin.
Non-US governments and commercial customers	17% of 2025 revenue ($9.2bn)	Diversification and exposure to European and allied rearmament.

Source: General Dynamics Form 10-K for 2025 (customer mix, programs, employees); Q3 2026 earnings release (segment margins).

A4. Competition

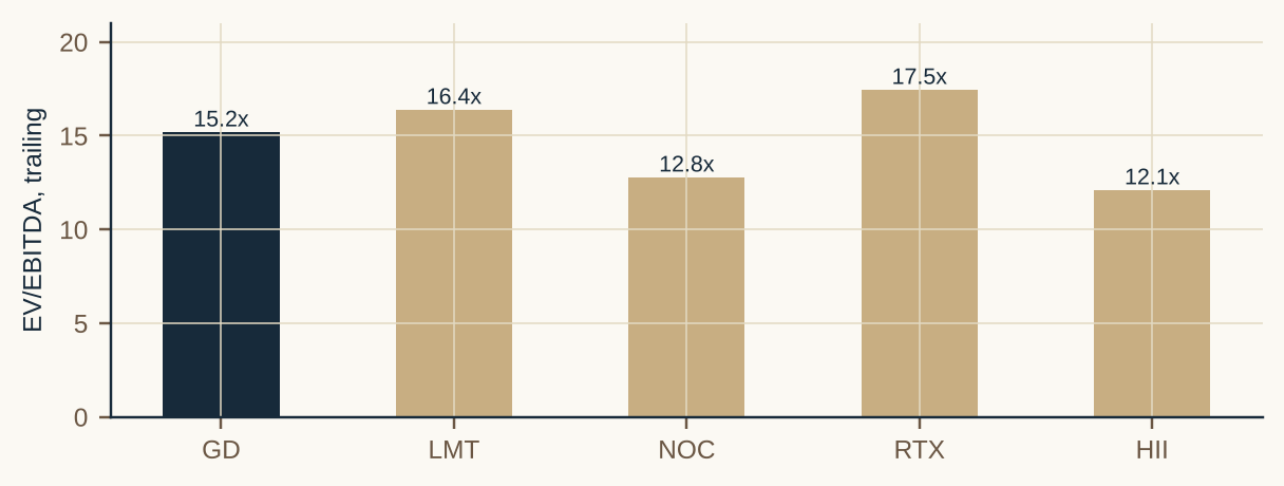
Peers were selected because they compete for the same customer (the US Department of Defense), the same engineering talent and shipyard or supplier capacity: Lockheed Martin and Northrop Grumman as diversified prime contractors, Huntington Ingalls as the direct shipbuilding counterpart, and RTX as the large aerospace and defense peer with a commercial aerospace cycle comparable to Gulfstream. Business jet competitors (Bombardier, Dassault Falcon, Textron Aviation, Embraer) and government IT competitors (Leidos, SAIC, CACI) compete with single segments and are not tabulated.

COMPETITIVE COMPARISON, TRAILING MULTIPLES, USD

Company	Mkt cap, bn	EV, bn	Op. margin	EV/EBITDA	P/E	Fwd P/E
General Dynamics	100.7	103.3	10.4%	15.2x	21.9x	22.1x
Lockheed Martin	147.1	161.7	10.8%	16.4x	22.6x	19.9x
Northrop Grumman	80.0	93.2	13.3%	12.8x	17.8x	19.1x
RTX	266.3	296.0	13.1%	17.5x	32.1x	25.4x
Huntington Ingalls	12.5	15.0	6.8%	12.1x	17.1x	15.5x

Source: stockanalysis.com key statistics for each company; Lockheed Martin and Huntington Ingalls as of 30 October 2026, Northrop Grumman and RTX as of 27 October 2026. General Dynamics calculated at the 30 October close of $372.59 (forward P/E uses 2026 EPS guidance of about $16.85). Peer provider data differ slightly in definition from analyst calculations.

Trailing EV/EBITDA, General Dynamics and defense peers



Source: stockanalysis.com (peers); analyst calculation (General Dynamics). Units: multiple of EBITDA. Dates as in the table above.

General Dynamics trades in line with Lockheed Martin on trailing earnings and at a premium to Northrop Grumman and Huntington Ingalls, but at a discount to RTX, whose multiple reflects its commercial aero aftermarket. Its operating margin is lower than Northrop Grumman and RTX because Marine Systems, a shipbuilder, earns 7 to 8 percent while Aerospace and Combat Systems earn 14 to 15 percent.

A5. Competitive Differences

Structural advantages: nuclear submarine design and build authority (only General Dynamics and Huntington Ingalls hold it), sole-source Abrams and Stryker production, a Gulfstream brand with installed-base service revenue, and security-cleared employees that are slow to replicate. Temporary advantages: record backlog and the current Gulfstream product cycle (G700, G800), which will fade as the new aircraft mature. Disadvantages: customer concentration (68% US government), fixed-price exposure in shipbuilding, dependence on a constrained supplier base, tariff exposure (tariffs reduced Aerospace margins by 30 basis points in 2025 per the Form 10-K), and a fragmented, price-competitive IT services business.

MOAT ASSESSMENT: STRONG

> Return on invested capital of 12.1% to 14.1% (2021 to 2025) is modest against the moat because Marine Systems is a low-margin, capital-heavy and labour-heavy business. The moat is strong in the sense of competitive exclusion (no new entrant can build a nuclear submarine), not in the sense of pricing power: the customer sets cost and fee structures.

A6. Industry Trend

The defense industry is growing and consolidating. General Dynamics' own record shows the trend: total backlog rose from $118.0bn at December 2025 to $136.5bn at June 2026 and $220.3bn at September 2026, with Q3 company-wide book-to-bill of 6.8 times. Structural trends are submarine recapitalisation, higher European and allied procurement, and growth in digital and mission systems. Temporary conditions are labour shortages at shipyards, supply chain delays and the timing of appropriations and continuing resolutions. Business aviation is cyclical: Gulfstream delivered 158 aircraft in 2025 and 119 in nine months of 2026, with a 1.4 times book-to-bill in Aerospace in 2026. The trend would reverse on a sharp cut in US defense budgets, an interest-rate and wealth shock to private aviation demand, or a major program cancellation after cost overruns.

A7. Management

EXECUTIVE TEAM

Name	Position	Background
Phebe N. Novakovic	Chairman and Chief Executive Officer	Chief executive since 2013; long-tenured at General Dynamics after earlier roles in government and the Pentagon; has overseen the focus on submarines, Gulfstream and cash returns.
Danny Deep	President (since December 2025)	President since December 2025 per the 10-K officer list; a succession-planning signal.
Kimberly A. Kuryea	Senior Vice President and Chief Financial Officer	Finance leadership; responsible for the balance-sheet de-leveraging since 2021.
Robert E. Smith	Executive Vice President, Marine Systems	Runs the largest segment and the submarine ramp.
Mark L. Burns	Executive Vice President; President, Gulfstream Aerospace	Responsible for the G700 and G800 launches.
M. Amy Gilliland	Executive Vice President; President, GDIT	Leads the government IT services business.
Jason W. Aiken	Executive Vice President, Combat Systems and Mission Systems	Land vehicles and C5ISR electronics.

Source: General Dynamics Form 10-K for 2025, executive officers as of 30 January 2026. Background text for Ms. Novakovic and Ms. Kuryea is analyst summary; biographical details beyond the filing were not independently retrieved.

Capital allocation has been disciplined and shareholder-friendly. From 2021 to 2025 total debt fell from $11.8bn to $8.0bn, shares outstanding fell 2.9% (282.0m to 273.9m), the dividend paid rose from $1.32bn to $1.59bn and buybacks were $0.4bn to $1.8bn a year, lower in 2025 ($0.64bn) as debt reduction took priority. Guidance has been conservative: 2026 EPS guidance was raised from $16.10 to $16.20 to $16.45 to $16.55 in April and to $16.80 to $16.90 in July, and nine-month EPS of $12.83 is already 13.6% above the prior year. Insider ownership and executive compensation were not retrieved. Management behaviour is aligned with shareholders on cash returns, but the DoD Inspector General subpoena disclosed in the third-quarter filing is a governance item to monitor.

B. Evaluation

B1. Financial and Operating Metrics

PROFITABILITY, GROWTH AND RETURNS (FISCAL YEARS TO 31 DECEMBER, USD)

Metric	2021	2022	2023	2024	2025
Revenue, bn	38.5	39.4	42.3	47.7	52.6
Revenue growth	1.4%	2.4%	7.3%	12.9%	10.1%
Operating margin	10.8%	10.7%	10.0%	10.1%	10.2%
EBITDA margin	13.1%	12.9%	12.1%	11.9%	12.0%
Net margin	8.5%	8.6%	7.8%	7.9%	8.0%
Net earnings per year-end share	11.55	12.19	12.02	13.63	15.37
ROE	19.6%	18.7%	16.6%	17.4%	17.7%
ROIC	12.6%	12.6%	12.1%	13.6%	14.1%
ROA	6.4%	6.7%	6.2%	6.8%	7.4%

Source: Alpha Vantage statement data for General Dynamics (reported US GAAP), analyst calculations. EBITDA is operating earnings plus depreciation and amortisation. ROE is net earnings over average equity. ROIC is operating earnings times one minus the effective tax rate, over year-end debt plus equity less cash. Gross margin is not a company-reported measure and is omitted. Per-share figure divides net earnings by year-end shares outstanding.

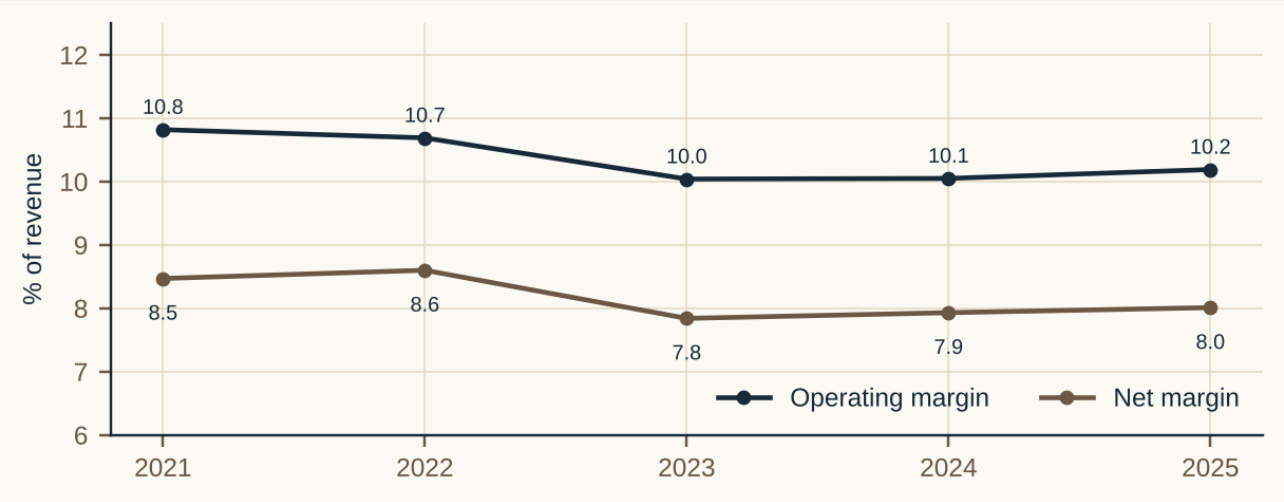
Growth: revenue CAGR 2021 to 2025 is 8.1%, EBITDA CAGR 5.6%, net earnings CAGR 6.6%, EPS CAGR 7.4% and free cash flow CAGR 4.0%. Revenue has grown faster than earnings because the mix shifted to Marine Systems, whose margin is lower. ROE of 17.7% is flattered by buybacks and leverage; ROIC of 14.1% is the better indicator and has risen by 1.5 points in four years.

EFFICIENCY, LEVERAGE AND CASH FLOW (USD)

Metric	2021	2022	2023	2024	2025
Asset turnover	0.76x	0.78x	0.79x	0.86x	0.93x
Inventory turnover (operating cost)	5.8x	5.6x	5.1x	4.4x	4.7x
Receivables, days of revenue	109	109	95	86	75
Total debt, bn	11.8	10.8	9.6	9.1	8.0
Net debt, bn	10.2	9.5	7.7	7.4	5.7
Debt to EBITDA	2.3x	2.1x	1.9x	1.6x	1.3x
Net debt to EBITDA	2.0x	1.9x	1.5x	1.3x	0.9x
Debt to equity	0.67x	0.58x	0.45x	0.41x	0.31x
Interest coverage (operating earnings)	9.7x	10.8x	10.6x	12.2x	17.1x
Operating cash flow, bn	4.27	4.58	4.71	4.11	5.12
Free cash flow, bn	3.38	3.47	3.81	3.20	3.96
FCF margin	8.8%	8.8%	9.0%	6.7%	7.5%
Free cash flow to net earnings	104%	102%	115%	85%	94%
Capex to revenue	2.3%	2.8%	2.1%	1.9%	2.2%

Source: Alpha Vantage statement data; General Dynamics Q4 2025 earnings release (2025 total debt of $8.013bn and net debt of $5.680bn as reported). Total debt for 2021 to 2024 is short-term plus long-term debt lines from the provider and may differ slightly from company-defined totals. Free cash flow is operating cash flow minus capital expenditure. Receivables are the provider's current net receivables line.

Operating and net margin, 2021 to 2025



Source: Alpha Vantage statement data, analyst calculation. Units: percent of revenue. Fiscal years to 31 December.

Operating margin has been flat around 10 percent since 2021 even as revenue grew 37 percent, so there has been no operating leverage: growth came from lower-margin shipbuilding. Receivable days fell from 109 to 75 as the business collected advances and progress payments, a quality signal for earnings.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Submarine cost overrun	Medium	High	Fixed-price and cost-sharing elements in Virginia and Columbia class work; Marine Systems earns only 7.5% and has little margin buffer.
2	Valuation compression	Medium	High	P/E of 21.9x is the top of the 2021 to 2025 range (18.1x to 21.9x); a return to 18x with unchanged EPS implies a price near $306.
3	Budget or policy shock	Low to medium	High	68% of revenue is US government; appropriations delays, program cancellations or procurement reform would hit conversion of backlog.
4	Business jet downturn	Medium	Medium	Aerospace is 32% of segment profit and cyclical; tariffs already cost 30 basis points of margin in 2025.
5	Investigation and compliance	Low to medium	Medium	A Department of Defense Inspector General subpoena was disclosed in the third-quarter filing; scope not retrieved.
6	Supply chain and labour	High	Medium	Shipyard and supplier capacity limit throughput; delays defer revenue and raise cost.
7	Competition in IT services	Medium	Low	GDIT and Mission Systems earn 9.4% and face price pressure from Leidos, SAIC and CACI.
8	Interest rates and macro	Low	Low	Net debt is only 0.4x EBITDA; sensitivity is mostly through the discount rate and jet demand.

Source: analyst assessment, General Dynamics Form 10-K for 2025 and Q3 2026 release.

The three risks most capable of permanently impairing shareholder value are a submarine cost overrun (it attacks the largest segment and the backlog thesis), a prolonged derating from a multiple that already embeds growth, and a policy or budget shock to the 68 percent government revenue base.

B3. Valuation

At $372.59 and 270.2 million shares outstanding, market capitalisation is $100.7bn; adding net debt of $2.6bn gives enterprise value of $103.3bn. LTM revenue is $56.5bn, LTM operating earnings $5.86bn, LTM EBITDA $6.81bn, LTM net earnings $4.66bn (diluted EPS of about $17.00), and LTM free cash flow $5.78bn.

CURRENT MULTIPLES AND OWN FIVE-YEAR HISTORY (YEAR-END), USD

Multiple	2021	2022	2023	2024	2025	Now
P/E (trailing)	18.1x	20.4x	21.6x	19.3x	21.9x	21.9x
EV/EBITDA	13.7x	15.4x	15.5x	14.2x	15.6x	15.2x
P/FCF	17.4x	19.9x	18.8x	22.9x	23.3x	17.4x
EV/Sales	1.8x	2.0x	1.9x	1.7x	1.9x	1.8x

Source: Alpha Vantage price and statement data, analyst calculation. Year-end price multiplied by year-end shares outstanding; the Now column uses the 30 October 2026 close and LTM figures to the quarter ended 4 October 2026. P/FCF now uses LTM free cash flow of $5.78bn, which is lifted by working-capital inflows; on 2025 free cash flow of $3.96bn it is 25.4x. Other multiples now: EV/EBIT 17.6x, dividend yield 1.7% ($6.36 annual dividend), PEG not meaningful.

The stock trades at the upper end of its own range on earnings (21.9 times against an average near 20.3 times) and EBITDA (15.2 times against 14.9 times), and in line with Lockheed Martin. On free cash flow the current multiple looks low only because 2026 working capital was unusually favourable (nine-month operating cash flow of $5.75bn is 163% of net earnings).

The market is pricing in sustained high single-digit revenue growth, a stable operating margin near 10.5 percent and cash conversion near 100 percent. Against the base DCF below this appears Reasonable to Optimistic: the price is about 8 percent above the base value and inside the bear to bull range.

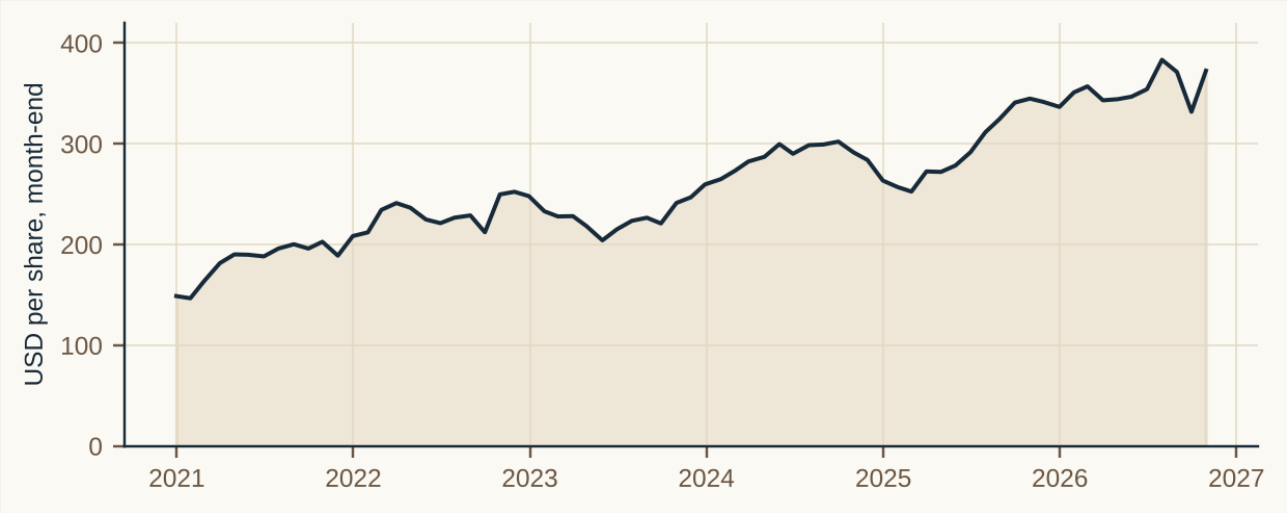
B4. Capital Market and Stock Analysis

PRICE PERFORMANCE, PRICE RETURN ONLY, USD

Period	GD	SPY	Basis
1 day (30 October)	+0.5%	-1.8%	Daily close
1 week (5 trading days)	+6.7%	-0.6%	Daily close
1 month (21 trading days)	+12.0%	-1.1%	Daily close
3 months (63 trading days)	-2.6%	-0.3%	Daily close
Year to date	+10.7%	N/A	Month-end 2025
1 year	+8.0%	N/A	Month-end close, 31 Oct 2025
3 years (annualised 15.6%)	+54.4%	N/A	Month-end close, 31 Oct 2023
5 years (annualised 12.9%)	+83.8%	N/A	Month-end close, 29 Oct 2021

Source: Alpha Vantage daily and monthly price series for GD and the SPDR S&P 500 ETF (SPY, used as benchmark). SPY long-term returns were not retrieved. Returns exclude dividends.

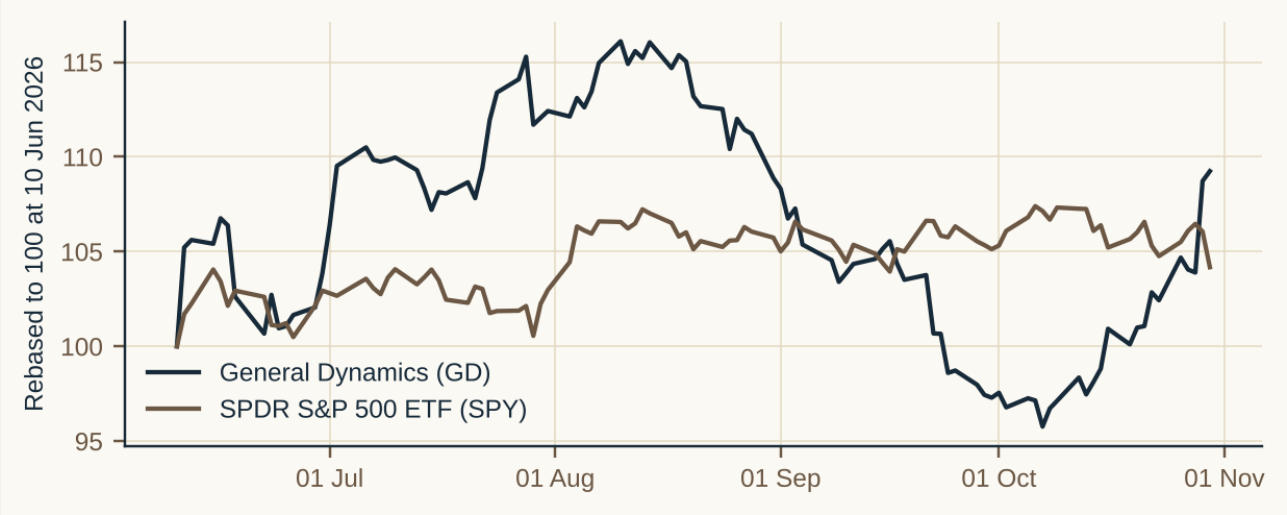
GD month-end closing price, December 2020 to October 2026



Source: Alpha Vantage monthly series. Units: USD per share.

Over five years the shares compounded at 12.9 percent a year, price only, with a 19.1 percent maximum drawdown on month-end closes. Over the last 99 trading days the high was $395.97 on 10 August and the low $326.63 on 7 October, a 17.5 percent peak-to-trough fall that has been followed by a 14.1 percent rebound; the stock stands 5.9 percent below the August high.

GD against the SPDR S&P 500 ETF, last 99 trading days



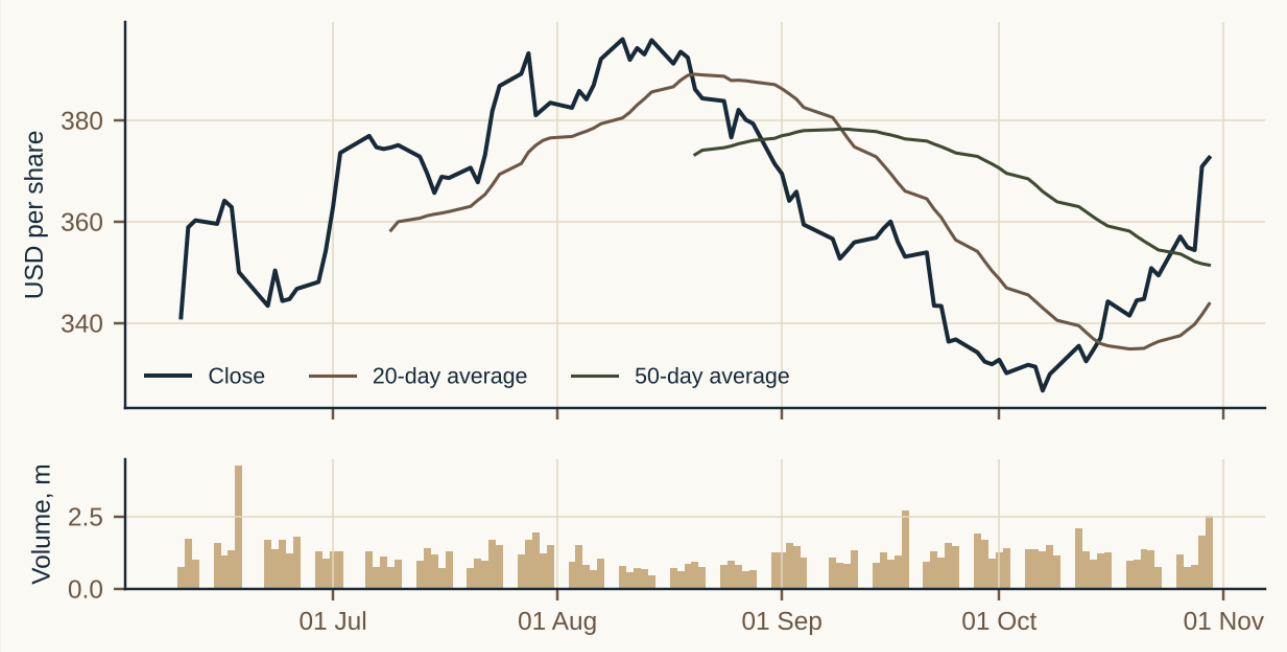
Source: Alpha Vantage daily series. Units: index rebased to 100 at 10 June 2026.

VOLATILITY AND RISK

Measure	Value	Basis
Annualised volatility, 99 trading days	21.7%	Daily log returns
Annualised volatility, 5 years	17.6%	Monthly log returns
Downside volatility, 99 trading days	13.9%	Annualised
Beta versus SPY, 99 trading days	0.09	Low explanatory power, correlation 0.05
Beta, five-year (provider)	0.33	stockanalysis.com
Maximum drawdown, 99 trading days	-17.5%	10 Aug to 7 Oct 2026
Maximum drawdown, 5 years	-19.1%	Month-end closes
Average true range (14 day)	$7.27	1.9% of price

Source: analyst calculation from Alpha Vantage price data; provider beta from stockanalysis.com, 27 October 2026.

GD price with 20 and 50 day averages and volume, last 99 trading days



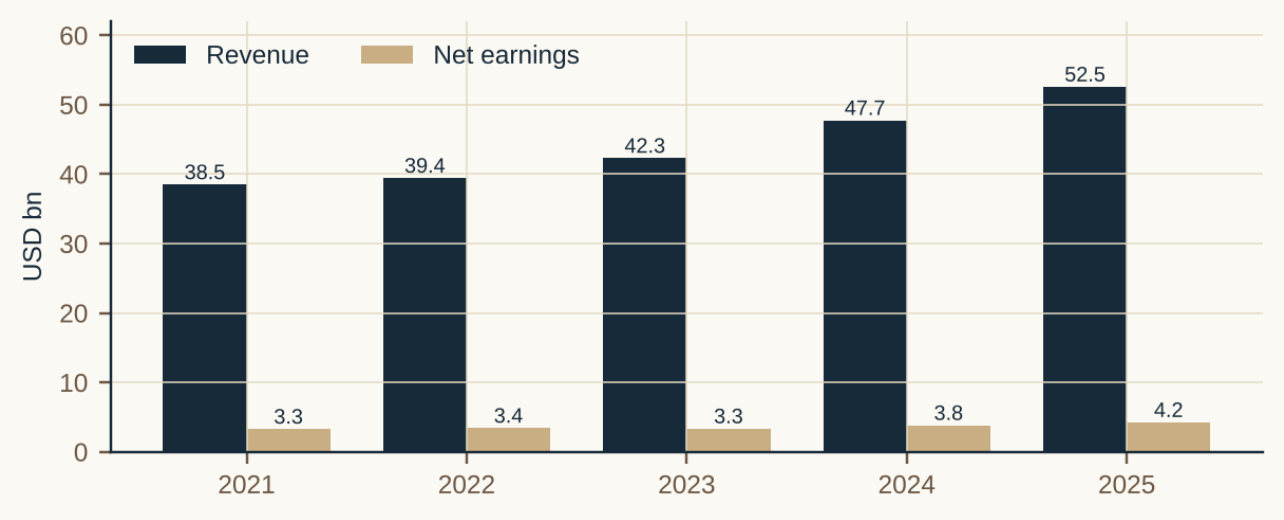
Source: Alpha Vantage daily series. Units: USD per share; volume in millions of shares.

The technical picture is constructive but stretched. The price of $372.59 is 8.4 percent above the 20-day average ($343.75) and 6.0 percent above the 50-day average ($351.40); the 10-month average of month-end closes ($355.6) serves as a proxy for the 200-day average, which cannot be computed from the 99-day daily data. The 14-day RSI is 73.5, above the conventional 70 level, MACD (4.84) is above its signal line (0.41), and 30 October volume of 2.5 million shares was roughly twice the 100-day average of 1.2 million. Support sits near $350 (the 50-day average and the late-October consolidation) and resistance near the August high of $395.97. A reading above 70 describes recent speed, not fundamental value; the move coincided with the third-quarter release and a two-day gain of 5.2 percent, so a pause or partial retracement would be consistent with the technical structure without changing the fundamental view.

C. Financial Statements

C1. Income Statement

Revenue and net earnings, 2021 to 2025



Source: Alpha Vantage statement data (US GAAP, as reported). Units: USD billion. Fiscal years to 31 December.

INCOME STATEMENT SUMMARY, USD MILLION

Item	2021	2022	2023	2024	2025	LTM Q3 26
Revenue	38,469	39,407	42,272	47,716	52,550	56,520
Operating earnings	4,163	4,211	4,245	4,796	5,356	5,859
Depreciation and amortisation	890	884	863	886	924	950
EBITDA (derived)	5,053	5,095	5,108	5,682	6,280	6,809
Interest expense	431	391	399	393	314	226
Pre-tax earnings	3,873	4,036	3,984	4,540	5,103	5,661
Net earnings	3,257	3,390	3,315	3,782	4,210	4,657
Research and development	415	480	510	565	486	N/A
SG&A	2,245	2,411	2,427	2,568	2,595	2,857
Effective tax rate	15.9%	16.0%	16.8%	16.7%	17.5%	17.7%

Source: Alpha Vantage statement data; Q3 2026 release (quarterly figures). LTM is the sum of the quarters ended 31 December 2025 and 31 March, 30 June and 4 October 2026. Quarterly interest expense and SG&A come from the provider's quarterly series.

Revenue grew 8.1 percent a year, but the mix matters: in 2025 Marine Systems and Aerospace each grew about 16.5 percent while Combat Systems and Technologies grew 2.8 and 2.6 percent. Growth is largely volume driven (submarine ramp, higher Gulfstream deliveries from 2024 to 2025), with Aerospace also helped by mix as G700 and G800 deliveries rose; acquisition and

currency effects were not material in the filings reviewed. Operating margin by segment in the nine months of 2026: Aerospace 14.7% (13.6% a year earlier), Marine Systems 7.5% (7.0%), Combat Systems 13.8% (14.2%) and Technologies 9.4% (9.6%). Group margin widened 30 basis points to 10.5%, so operating leverage is positive but small; margins are stable-to-expanding, with the gain concentrated in Marine Systems (cost recovery and learning) and Aerospace (mix). Interest expense has fallen 48 percent since 2021 as debt was repaid, saving about $205m a year at the LTM run rate. The tax rate has been stable at 16 to 18 percent.

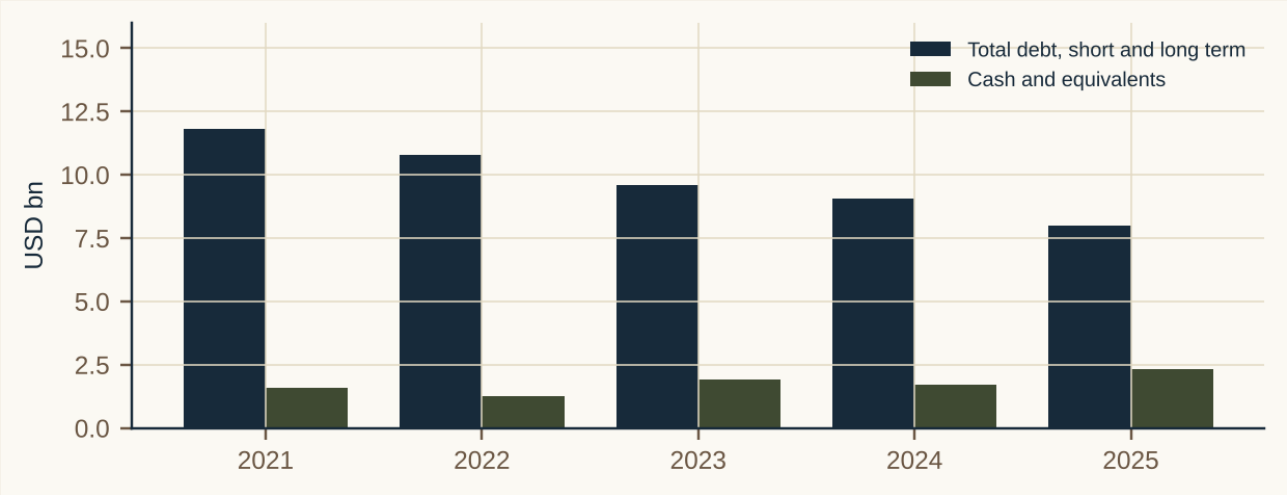
C2. Balance Sheet

BALANCE SHEET SUMMARY, USD MILLION

Item	2021	2022	2023	2024	2025	4 Oct 26
Cash and equivalents	1,603	1,242	1,913	1,697	2,333	4,388
Receivables	11,539	11,803	11,001	11,225	10,786	11,435
Inventory	5,340	6,322	8,578	9,724	9,232	9,124
Goodwill	20,098	20,334	20,586	20,556	21,009	20,849
Intangible assets, ex goodwill	1,978	1,824	1,656	1,520	1,375	1,231
Total assets	50,073	51,585	54,810	55,880	57,249	60,205
Current liabilities	13,978	15,341	16,432	17,824	16,796	18,826
Total liabilities	32,432	33,017	33,511	33,817	31,627	32,913
Shareholders’ equity	17,641	18,568	21,299	22,063	25,622	27,292
Total debt (company, 2025 and Q3)	N/A	N/A	N/A	N/A	8,013	7,016
Net debt (company, 2025 and Q3)	N/A	N/A	N/A	N/A	5,680	2,628

Source: Alpha Vantage balance sheet data; General Dynamics Q3 2026 earnings release (debt and net debt as reported at 4 October 2026, Q4 2025 release for 31 December 2025). Provider debt lines for earlier years are shown in the ratio table in B1.

Total debt and cash, 2021 to 2025



Source: Alpha Vantage balance sheet data; Q4 2025 earnings release (2025 debt). Units: USD billion. Year ends 31 December.

The balance sheet is strong and improving. Current ratio was 1.44 at year end 2025 and 1.43 at 4 October 2026; working capital was $7.4bn at year end 2025. Equity ratio is 45 percent ($27.3bn of $60.2bn assets), debt to equity is 0.26 times, and $1.0bn of fixed-rate notes were repaid in nine months. Red flags are limited: goodwill of $20.8bn is 35 percent of assets and 76 percent of equity, a legacy of acquisitions (notably GDIT), and inventory (largely contract work in process) rose from $5.3bn to $9.1bn between 2021 and 2026, in line with submarine and Gulfstream ramps. Off-balance-sheet obligations such as operating leases and pension funding were not retrieved for this report.

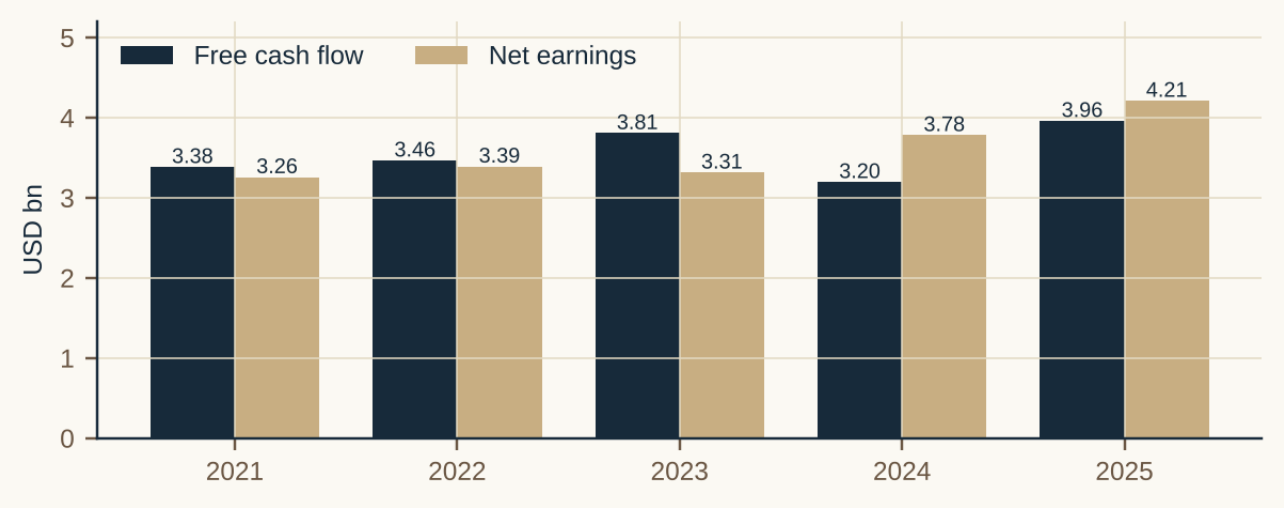
C3. Cash Flow Statement

CASH FLOW SUMMARY, USD MILLION

Item	2021	2022	2023	2024	2025	9M 2026
Operating cash flow	4,271	4,579	4,710	4,112	5,120	5,745
Capital expenditure	887	1,114	904	916	1,161	918
Free cash flow	3,384	3,465	3,806	3,196	3,959	4,827
Dividends paid	1,315	1,369	1,428	1,529	1,593	1,263
Share repurchases	1,828	1,229	434	1,501	637	604
Cash from investing	-882	-1,489	-945	-959	-1,294	N/A
Cash from financing	-4,590	-3,471	-3,094	-3,369	-3,190	N/A

Source: Alpha Vantage cash flow data; General Dynamics Q3 2026 earnings release for nine months 2026. Share repurchases are cash paid for common stock; free cash flow is operating cash flow minus capital expenditure.

Free cash flow and net earnings, 2021 to 2025



Source: Alpha Vantage cash flow and statement data. Units: USD billion.

Free cash flow has equalled or exceeded net earnings in three of five years (104, 102, 115, 85 and 94 percent) and has averaged 100 percent over the period, but 2024 and 2025 were held back by working-capital growth (inventory consumed $1.2bn of cash in 2024). The pattern reverses in 2026: nine-month free cash flow of $4.83bn is 137 percent of nine-month net earnings ($3.51bn), partly because customer advances and progress billing came ahead of spending; third-quarter capital expenditure also doubled to $481m from $212m a year earlier. Net income and cash flow therefore diverge in both directions with the submarine payment profile, and 2026 free cash flow should not be extrapolated. Dividends and buybacks consumed 56 percent of 2025 free cash flow, and net debt still fell by $3.1bn in the first three quarters of 2026.

C4. Forecasting and Projections

Revenue is projected from the segment structure. Base case: 2026 revenue of $56.4bn (nine-month actual of $42.1bn plus an estimated fourth quarter of $14.3bn; company guidance in July was about $55.7bn per MarketBeat), then growth of 7.0%, 6.0%, 5.5%, 5.0% and 4.5% in 2027 to 2031, fading to 3.0% by 2034. Marine Systems carries the highest growth because of the backlog; Aerospace follows delivery capacity (about 160 aircraft a year); Combat Systems and Technologies grow with inflation plus program starts. Operating margin rises from 10.7% in 2027 to 11.0% by 2031 as Marine margin edges up. Capex is 2.5 percent of revenue (above the historical 2.2 percent to allow for shipyard investment), depreciation 1.7 percent, working capital 8 percent of incremental revenue, tax 18 percent. These are analyst assumptions, not company guidance.

SCENARIO ASSUMPTIONS AND DCF VALUE PER SHARE, USD

Assumption	Bear	Base	Bull
Revenue growth, 2027 to 2031	4.0% to 3.0%	7.0% to 4.5%	8.5% to 6.0%
Operating margin	10.0% flat	10.7% to 11.0%	10.8% to 12.0%
Terminal growth	2.5%	2.5%	2.5%
WACC	8.0%	8.0%	8.0%
DCF value per share	273	344	414
Versus $372.59	-27%	-8%	+11%

Source: analyst model. Enterprise value less net debt of $2.6bn, divided by 274 million diluted shares.

C5. Discounted Cash Flow (DCF) Model

The DCF values unlevered free cash flow over ten years (2027 to 2036) plus a terminal value, discounted from the valuation date with a partial first period. Free cash flow equals operating earnings times one minus 18 percent, plus depreciation of 1.7 percent of revenue, less capex of 2.5 percent of revenue and working capital of 8 percent of incremental revenue. Base-case unlevered free cash flow is $4.5bn in 2027 rising to $7.0bn in 2036; the undiscounted terminal value is $129.6bn, whose present value of about $59bn is 61 percent of the enterprise value of $97.0bn, a high share that signals sensitivity to the terminal assumptions. Net debt is $2.6bn and diluted shares are 274 million.

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE, USD

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
7.0%	371	395	426	464	512
7.5%	337	357	381	410	446
8.0%	309	325	344	367	395
8.5%	285	298	314	332	354
9.0%	264	275	288	303	320

Source: analyst model. Base case revenue and margin path; value per share.

SENSITIVITY: OPERATING MARGIN SHIFT (ROWS) AGAINST GROWTH SHIFT (COLUMNS), VALUE PER SHARE, USD

Margin shift	-2.0 pts growth	-1.0 pt	Base	+1.0 pt	+2.0 pts
-1.0 pt	280	294	308	322	337
-0.5 pt	297	311	326	341	357
Base	314	329	344	361	378
+0.5 pt	330	346	363	380	398
+1.0 pt	347	364	381	399	418

Source: analyst model. WACC 8.0 percent and terminal growth 2.5 percent; growth shift applies to 2027 to 2031.

WACC of 8.0 percent is an analyst assumption: cost of equity about 8.25 percent (risk-free rate and equity risk premium assumed, beta set at 0.8 because the observed beta of 0.09 to 0.33 is not reliable for a long-duration cash flow stream), cost of debt about 4.5 percent pre-tax, and a debt weight of about 6 percent. The valuation range of roughly $290 to $395 (WACC 7.5 to 8.5 percent, terminal growth 2.0 to 3.0 percent) is a range of plausible outcomes and is not a point estimate of intrinsic value. The model uses normalised cash conversion and therefore does not capture the unusually favourable 2026 working-capital inflow.

C6. Leveraged Buyout (LBO) Model

Not applicable. At an enterprise value of about $103bn, with US government security clearances, foreign-ownership restrictions on nuclear shipbuilding and low leverage capacity relative to the equity cheque, a sponsor-led buyout is not a meaningful valuation reference for General Dynamics.

D. Investment Thesis

Bull Case

Submarine awards convert faster than expected as Electric Boat productivity improves; Marine Systems margin moves from 7.5 percent toward 9 percent; Gulfstream sustains 160 deliveries and mid-cabin additions (G300, G400) lift mix; group operating margin reaches 12 percent by 2032 and revenue grows 6 to 8.5 percent a year. With a stable multiple the DCF value is about $414 per share, 11 percent above the current price.

Bear Case

Submarine overruns or delays hold Marine Systems below 7 percent, a business jet downturn cuts Aerospace deliveries, and defense budget friction slows funded backlog conversion. Growth falls to 3 to 4 percent and operating margin to 10.0 percent; the P/E reverts to the 2021 level of about 18 times. The DCF value is about $273 and the 18 times earnings reference is about $306 on LTM EPS, both materially below $372.59.

Base Case

Revenue of $56.4bn in 2026 grows 7 percent in 2027 and fades toward 4.5 percent by 2031, operating margin edges up to 11 percent, free cash flow tracks net earnings, and dividends plus buybacks continue at 50 to 60 percent of free cash flow. EPS of roughly $16.90 to $17.20 for 2026 and mid-to-high single-digit growth afterwards, with the multiple stable at 20 to 22 times, supports a value near the current price but not substantially above it.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Fourth-quarter and full-year results	Late January 2027	First full year with record backlog; 2027 guidance for revenue, margin and free cash flow.
Submarine contract definitisation	2027	Converts booked awards to funded work and sets fee and margin structure.
Gulfstream deliveries	Quarterly	G800 and G700 ramp and G300 and G400 timing set Aerospace margin.
Defense appropriations	Government fiscal year 2027	Funding for ships, vehicles and IT programs.
Buybacks and debt reduction	Ongoing	6.8 million shares were authorised at 31 December 2025; net debt of $2.6bn leaves room to resume larger repurchases.

Source: analyst assessment; General Dynamics Form 10-K for 2025 and Q3 2026 release.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Marine Systems margin	Largest segment, lowest margin	Above 8%	Below 7%
Total backlog conversion	Revenue visibility	Revenue growth above 8%	Growth below 5%
Free cash flow to net earnings	Earnings quality	95% to 105% over a year	Below 85% for two years
Gulfstream deliveries	Aerospace earnings	160 or more a year	Below 140
Net debt to EBITDA	Balance-sheet capacity	Below 0.5x with buybacks	Above 1.0x
DoD Inspector General matter	Governance and contract risk	Closed without findings	Findings or suspensions
Trailing P/E	Valuation risk	Below 20x	Above 24x

E. Final Investment Framework

BUSINESS QUALITY	High. Sole-source nuclear submarine and land vehicle franchises, 3.9 years of backlog and Gulfstream brand.
FINANCIAL QUALITY	High. 100 percent average cash conversion, ROIC 14.1 percent (2025), net debt 0.4 times EBITDA.
COMPETITIVE POSITION	Strong in submarines and land vehicles, moderate in jets and IT.
MANAGEMENT	Good. Consistent deleveraging, conservative guidance, regular raises; subpoena and succession (new president) to monitor.
INDUSTRY	Mature, consolidated, structurally supported by procurement growth; business aviation cyclical.
VALUATION	Full. 21.9 times earnings, top of five-year range; base DCF about $344, range $273 to $414.
TECHNICAL AND MARKET STRUCTURE	Constructive but extended: RSI 73.5, price above 20 and 50 day averages, low beta.
PRINCIPAL RISK	Fixed-price cost overrun on submarines.
PRINCIPAL CATALYST	Conversion of the $220bn backlog and 2027 guidance.
KEY VARIABLE	Marine Systems operating margin.
THESIS INVALIDATION	The investment thesis would become materially weaker if Marine Systems operating margin falls below 7.0 percent for two consecutive quarters, if free cash flow is below 85 percent of net earnings for a full year, if Gulfstream deliveries fall below 140 a year, or if the trailing P/E rises above 24 times without an increase in 2027 EPS guidance.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market capitalisation	$100.7bn	$73.1bn (Dec 24)	Up 71% since 2021
Market	Enterprise value	$103.3bn	$80.5bn (Dec 24)	Up 50% since 2021
Market	Share price	$372.59	$263.49 (Dec 24)	5Y CAGR 12.9%
Growth	Revenue growth	10.4% (9M 26)	10.1% (2025)	5Y CAGR 8.1%
Profitability	Operating margin	10.4% LTM	10.2% (2025)	10.8% to 10.2%
Profitability	Net margin	8.2% LTM	8.0% (2025)	8.5% to 8.0%
Profitability	ROE	17.6% LTM	17.7% (2025)	19.6% to 17.7%
Profitability	ROIC	16.2% LTM	14.1% (2025)	12.6% to 14.1%
Cash flow	Operating cash flow	$7.31bn LTM	$5.12bn (2025)	5Y CAGR 4.6%
Cash flow	Free cash flow	$5.78bn LTM	$3.96bn (2025)	5Y CAGR 4.0%
Leverage	Net debt / EBITDA	0.39x	0.90x (2025)	2.0x to 0.9x
Valuation	P/E	21.9x	21.9x (Dec 25)	5Y range 18.1x to 21.9x
Valuation	EV/EBITDA	15.2x	15.6x (Dec 25)	5Y range 13.7x to 15.6x
Valuation	P/FCF	17.4x LTM	23.3x (Dec 25)	5Y range 17.4x to 23.3x
Market	Beta	0.33 (5Y provider)	N/A	0.09 vs SPY, 99 trading days
Market	Volatility	21.7% (99 trading days)	N/A	17.6% (5Y monthly)
Market	Maximum drawdown	-17.5% (99 trading days)	N/A	-19.1% (5Y monthly)

Source: analyst calculations from Alpha Vantage data, company releases and stockanalysis.com. LTM refers to the four quarters to 4 October 2026; prior-year column shows the most recent comparable annual figure. Operating cash flow 5Y CAGR is for 2021 to 2025 (4,271 to 5,120). ROIC LTM uses LTM operating earnings, a 17.5 percent tax rate and capital at 4 October 2026.

G. Sources and Methodology

Data cross-check

Financial statements were taken from the provider statement series and checked against the company's Form 10-K and Q3 2026 and Q4 2025 earnings releases: revenue ($52,550m in 2025; $14,566m in Q3 2026), net earnings ($4,210m; $1,229m) and operating cash flow ($5,120m) agree between sources. Differences identified: shares outstanding are 270.4m (Form 10-K, 31 December 2025), 270.2m (stockanalysis.com) and 273.8m to 273.9m (provider balance sheet, which matches the weighted diluted count implied by EPS); market capitalisation uses 270.2m and per-share valuation uses 274m diluted. The July 2026 EPS guidance cited by MarketBeat ($16.80 to $16.90) is later than the April figure ($16.45 to $16.55), and revenue guidance of about $55.7bn is a single figure in the source; the company's third-quarter release did not state updated guidance in the version retrieved. The provider's 2023 gross profit field equals operating earnings and is not comparable; gross margin was therefore not used. Provider debt for 2021 to 2024 may differ from company-defined totals. Stockanalysis.com statistics dated 27 October were available for General Dynamics at $355.00; multiples were recalculated at the 30 October close.

Source list

Primary Sources

General Dynamics Corporation (US SEC), Form 10-K for the fiscal year ended 31 December 2025. Early 2026. https://www.sec.gov/Archives/edgar/data/40533/000004053326000006/gd-20251231.htm. Information obtained: Segment revenue, customer mix, programs, employees, executive officers, repurchase authorisation, tariff effect

General Dynamics Corporation, Fourth-quarter and full-year 2025 earnings release (Exhibit 99.1). Early 2026. https://s22.q4cdn.com/891946778/files/doc_financials/2025/q4/GD-2025-12-31-Exhibit-99-1-Final.pdf. Information obtained: 2025 and 2024 segment revenue and operating earnings, cash flow, backlog, debt, Gulfstream deliveries

General Dynamics Corporation (via Finviz), General Dynamics reports third quarter 2026 financial results. 30 October 2026. https://finviz.com/news/412441/general-dynamics-reports-third-quarter-2026-financial-results. Information obtained: Q3 and nine-month results, segment margins, cash flow, net debt, backlog, book-to-bill, deliveries

Secondary Sources

MarketBeat, General Dynamics issues FY 2026 earnings guidance. 29 July 2026. https://www.marketbeat.com/instant-alerts/general-dynamics-nysegd-issues-fy-2026-earnings-guidance-2026-07-29/. Information obtained: EPS and revenue guidance, dividend, consensus rating

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StockAnalysis, General Dynamics quarterly financials. 30 October 2026. https://stockanalysis.com/stocks/gd/financials/?p=quarterly. Information obtained: Q3 2026 revenue, net income and EPS cross-check

Market Data

Alpha Vantage, Daily and monthly time series for GD and SPY; income statement, balance sheet and cash flow for GD. Data to 30 October 2026. https://www.alphavantage.co/documentation/. Information obtained: Prices, volume, benchmark, five-year statements and quarterly statements

Calculations

Calculated by the analyst: EBITDA (operating earnings plus depreciation and amortisation), LTM figures, free cash flow, ROE, ROIC, turnover and leverage ratios, trailing and historical multiples, enterprise value, returns, volatility, drawdown, beta, RSI, MACD, ATR, moving averages and all DCF, scenario and sensitivity outputs. Forecasts and the WACC are analyst assumptions and are not company guidance.

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